commission. Such changes have to be debated and decided upon as a prelude to the work of the commission so that the commission has a clear mandate on the policy directions. In short, policy directions should drive the work of the legislative reforms commission, not the other way round. That underscores why it is important for all of us—the banks and the banking regulator—to deliberate on the policy directives. I hope this conference will set the ball rolling by discussing the various aspects of legislative changes required in the banking sector.'

Pranab Mukherjee assured me that my concern would be taken care of while drafting the terms of reference of the committee and that he would also brief the committee on this sensitivity before they set out to work.

In the event, the FSLRC interpreted its mandate in a much broader context and went about proposing some fundamental changes to the regulatory architecture. I must say for the record, although it may not matter since I am no longer governor, that I endorse some of the recommendations of the FSLRC, such as its emphasis on consumer protection and the establishment of a Monetary Policy Committee to decide on monetary policy. But I have reservations about some others like the division of responsibilities for capital flows—the government regulating inflows and the Reserve Bank regulating outflows—and entrusting systemic risk management to the FSDC.

Apart from the content of the recommendations, I also have a grievance with the committee over the very minimal opportunity it gave to the financial sector regulators to present their point of view. The committee held just one joint meeting with all the financial sector regulators, maybe of about three hours' duration. There was no prior indication of the specific issues on which the committee wanted to hear the regulators' views; we were simply asked to present our respective briefs in an open-ended manner. The meeting was also one-sided, since they heard us but did not engage us.

I was not too perturbed at that time because I thought this was only a preliminary meeting and that the committee would give each regulator a separate and exclusive opportunity after they had reached some preliminary